SCAP-17-0000816

IN THE SUPREME COURT OF THE STATE OF HAWAI'I

Tax Appeal Court, State of Hawai'i
CIVIL NO. 16-1-0229
Judge: Honorable Gary W.B. Chang

In the Matter of the Appeal of
KAHEAWA WIND POWER, LLC,

Taxpayer-Appellant.

Consolidated Case Nos. CAAP-17-0000816, CAAP-17-0000817, CAAP-17-0000818, CAAP-17-0000819, CAAP-17-0000820

APPELLEE/TAXPAYER-APPELLANT AUWAHI WIND ENERGY LLC'S ANSWERING BRIEF

CADES SCHUTTE LLP
VITO GALATI #2611-0
CHRISTOPHER T. GOODIN #8562-0
1000 Bishop Street, 12th Floor
Honolulu, HI 96813
Telephone: (808) 521-9200
Facsimile: (808) 521-9210
Email: vgalati@cades.com
cgoodin@cades.com
Attorneys for Appellee/Taxpayer-Appellant
AUWAHI WIND ENERGY LLC

TABLE OF CONTENTS

I. INTRODUCTION 1

II. COUNTERSTATEMENT OF THE CASE 3

A. Auwahi's Contribution to Renewable Energy. 3

B. Appellees Appeal the County's Taxation of Their Respective Turbines as "Real Property" Under the Prior Version of the MCC. 3

1. The ICA affirms the Tax Appeal Court's decision that Turbines are not "real property." 3

2. Auwahi appeals the County's similar treatment of Auwahi's Turbines for tax year 2013. 4

C. To circumvent the Kaheawa decision, the County Amends the MCC to Include Turbines in the Definition of "Real Property." 5

D. Auwahi Challenges the Tax Assessments for Tax Years 2014, 2015 and 2016 as Unconstitutional. 5

III. POINTS OF ERROR 9

IV. STANDARD OF REVIEW 10

A. Summary Judgment Standard. 10

B. Standard for Interpretation of Constitutional Provisions. 11

C. Standard for Interpretation of Tax Laws. 12

V. ARGUMENT 13

A. Article VIII, Section 3 of the Hawai'i Constitution Limits the Counties' Taxing Authority to "Real Property" as Defined in 1978. 13

1. Only the authority to tax "real property" was transferred to the counties. 13

2. Section 3 does not confer upon the counties a general taxing power (beyond real property) or the unrestricted authority to define "real property." 17

B. Informed by the Statutory and Common Law Definitions and the Analysis in Kaheawa, the Turbines Are Not "Fixtures" and Thus Not "Real Property." 22

1. The County is attempting to tax personal property as "real property" by improperly expanding the definition of a "fixture." 22

2. The ICA appropriately adopted the Zangerle fixture test in Kaheawa because it is consistent with Hawai'i case law. 25

3. The Zangerle fixture test is not vague and applies to the interpretation of the County's taxing authority under article VIII, section 3 of the Hawai'i Constitution. 30

4. The value the Turbines add to the Property is not at issue because MCC § 3.48.005 is ultra vires. 34

C. The County's Argument Regarding the Removability of the Turbines Is Without Merit and Has Been Waived. 37

1. The County waived the argument by failing to raise the alleged error before the Tax Appeal Court and in its Points of Error on appeal. 37

2. Even if the argument was not waived, the County's reliance on New Jersey case law is meritless. 40

D. Concluding that the Turbines are Personal Property, and Not Real Property, Promotes Uniformity and Consistency in the Tax Laws. 42

VI. CONCLUSION 44

I. INTRODUCTION

This consolidated appeal arises from the County of Maui's ("County") repeated attempts to tax as real property removable wind towers and turbines (together, "Turbines") located on two wind farms, one operated by Auwahi Wind Energy LLC ("Auwahi") and the other operated by Kaheawa Wind Power, LLC, and Kaheawa Wind Power II, LLC (together, "Kaheawa") (together with Auwahi, "Appellees"). The County previously classified the Kaheawa's Turbines as real property for tax years 2007-2013 and Auwahi's Turbines as real property for tax year 2013.

The Intermediate Court of Appeals of Hawai'i (the "ICA") agreed with the Tax Appeal Court of the State of Hawai'i (the "Tax Appeal Court") that Kaheawa's Turbines are not "real property" under the Maui County Code ("MCC") for the purposes of the real property tax. Kaheawa Wind Power, LLC v. County of Maui, 135 Hawai'i 202, 211, 347 P.3d 632, 641 (Ct. App. 2014).[1] The definition of "real property" under the Maui County Code at the time followed the common law understanding of the term, specifically land, improvements, and even machinery if it qualifies as a "fixture," which is a type of improvement. Id. at 205-07, 347 P.3d at 635-37. The ICA concluded that the Turbines were not necessary to the utility of the land and thus not "fixtures" or "real property." Id. at 211, 347 P.3d at 641. This Court thereafter rejected the County's application for a writ of certiorari. Kaheawa, 2015 WL 745424 (2015). Pursuant to the Kaheawa decision, the County and Auwahi entered into a stipulated final judgment that Auwahi's Turbines were not "real property" under the MCC for the 2013 tax year. In an attempt to circumvent the decision in Kaheawa, the County amended the definition of "real property" in the MCC to not only include the common law definition as before, but specifically add wind

[1] This decision specifically concerned Kaheawa's appeals for the 2007-2011 tax years. Citation to the appellate record is to the Judiciary's Electronic Filing System Docket Number (Dkt.) and the PDF page number. Dockets 29, 31, 33, 35, and 37 in SCOT-17-0000818 comprise the five-part Record on Appeal, and are referred to as "818 ROA Vol. I", "818 ROA Vol. II," "818 ROA Vol. III," "818 ROA Vol. IV," and "818 ROA Vol. V," respectively. Docket 13 in SCOT-17-0000819 is the Record on Appeal and is referred to as "819 ROA." Docket 15 in SCOT-17-0000820 is the Record on Appeal and is referred to as "820 ROA."

towers and turbines. MCC § 3.48.005 (2013). Based on that amendment, from tax year 2014 forward, the County again classified Appellees' Turbines as "real property." See Record on Appeal, SCOT-17-0000818, Dkt. 29 at p. 18; SCOT-17-0000819, Dkt. 13 at p. 26-27; SCOT-17-0000820, Dkt. 15 at p. 27-28.[2]

The County tries to achieve a different result here by asserting that it has the authority to broaden the definition of "real property" under section 3. However, as a creation of the State, the County may "exercise only those powers which have been delegated to [it] by the State legislature." State v. Medeiros, 89 Hawai'i 361, 365, 973 P.2d 736, 740 (1999) (quotation marks, citation, and brackets omitted). Article VIII, section 3 of the Hawai'i Constitution conferred upon the counties the power to tax only "real property." Importantly, section 3 did not confer on the County any authority to tax "personal property," a term used elsewhere in the Hawai'i Constitution but found nowhere in section 3. Thus, the County lacks the authority to broaden the definition of "real property" to include personal property such as Auwahi's Turbines.

The County also takes this opportunity to challenge the ICA's decision in Kaheawa since this Court rejected the County's application for a writ of certiorari to review of the Kaheawa decision. Specifically, the County argues that the ICA's adoption of the fixture test set forth in Zangerle v. Republic Steel Corp., 60 N.E.2d 170 (Ohio 1945), was misplaced, and the County offers a number of alternative theories under which Auwahi's towers and turbines would be considered "real property." The cases cited by the County, however, are either based on statutes unique to that state or are contrary to existing Hawai'i case law. Thus, there is no basis to deviate from the ICA's analysis in concluding that the Turbines are not "real property."

---

[2] In so doing, the County exceeded its authority to tax. Article VIII, section 3 of the Hawai'i Constitution limits the County's taxing authority to "real property" as it was understood when section 3 was adopted in 1978. Prior to the adoption of section 3, the State taxed real property and defined "real property" by statute, specifically HRS § 246-1. This definition followed the common law. When section 3 was adopted, the counties followed by ordinance the State's statutory definition. See Hawai'i County Code § 19-2 (1981); Revised Ordinances of Honolulu § 8-1.2 (1983); Kauai County Code § 5A-1.1; MCC § 3.48.005 (1980).

II. COUNTERSTATEMENT OF THE CASE

A. Auwahi's Contribution to Renewable Energy.

Auwahi operates a wind farm on land it leases located at 20100 Pi'ilani Highway, Hana, Hawai'i and identified by Tax Map Key No. (1) 1-9-001-006 (the "Property"). 818 ROA Vol. I at 73, 141-214, 215-18. The wind farm's eight wind turbines generate enough electricity to power approximately 10,000 typical Maui homes and help the State of Hawai'i to reach its goal of securing 40% of its electricity from renewable sources by 2030. Id. at 73; Haw. Rev. Stat. ("HRS") § 269-92(a)(4). In discussing its broader objective of securing 70% of its energy from clean energy sources by 2030, the Hawai'i Legislature stated that "[t]his type of clean energy transformation will help stabilize and strengthen Hawaii's economy by reducing its dependency on imported fossil fuels and protect its environment by sharply reducing greenhouse gas emissions." 2009 Haw. Sess. L. Act 155, § 10.

B. Appellees Appeal the County's Taxation of Their Respective Turbines as "Real Property" Under the Prior Version of the MCC.

1. The ICA affirms the Tax Appeal Court's decision that Turbines are not "real property."

In 2010, the County began taxing the Turbines as "real property." The County issued to Kaheawa an Amended Notice of Property Assessment for each of the 2007, 2008 and 2009 tax years, seeking to retroactively tax Turbines as "real property." See Kaheawa, 135 Hawai'i at 204, 347 P.3d at 634. The County also taxed Turbines as "real property" in tax years 2010 and 2011. See id. Kaheawa appealed the tax assessments to the Tax Appeal Court. Id. at 205, 347 P.3d at 635. On cross motions for summary judgment, the Tax Appeal Court ruled in favor of Kaheawa, holding that the Turbines did not constitute real property for real property tax assessment purposes. Id.

On appeal, the ICA agreed with the Tax Appeal Court that the Turbines were not "real property" under the MCC. Id. at 211, 347 P.3d at 641. In analyzing the issue, the ICA considered whether the Turbines were "improvements" or "fixtures" within the definition of "real property"

under MCC § 3.48.005. Id. at 207, 347 P.3d at 637. The ICA determined that the Turbines were not "improvements" under either the language of the MCC or common law. Id. at 208-09, 347 P.3d at 638-39. The ICA also concluded that the Turbines were not "fixtures" under the MCC. Id. at 210-11, 347 P.3d at 640-41. In reaching this conclusion, the ICA "look[ed] to traditional common law 'fixture' analysis for guidance." Id. at 210, 347 P.3d at 640 ("[T]he interpretation of well-defined words and phrases in the common law carries over to statutes dealing with the same or similar subject matter." (brackets in original) (quotation marks and citation omitted)). Relying on Zangerle v. Republic Steel Corp., 60 N.E.2d 170 (Ohio 1945), the ICA determined that

> [i]n this case, the wind turbines are only necessary to the utility of the land or realty given the particular business that Kaheawa is currently operating. The wind turbines are not accessory or useful to the land "whatever business may be carried on upon it[.]" . . . Thus, the wind turbines are not "fixtures" and are not "real property."

Kaheawa, 135 Hawai'i at 211, 347 P.3d at 641 (brackets in original) (citation omitted). The County's application for a writ of certiorari to this Court was denied. Kaheawa, 2015 WL 745424 (2015).

2. Auwahi appeals the County's similar treatment of Auwahi's Turbines for tax year 2013.

For tax year 2013, the County also classified Auwahi's Turbines as "real property." By this point, the Tax Appeal Court had already decided in Kaheawa that wind turbines and towers were not "real property." In light of Kaheawa, Auwahi and the County entered into a stipulated final judgment under which the parties stipulated and the Court ordered that "the wind towers and turbines . . . located on the [Property] are not 'real property' under the version of the Maui County Code applicable to the 2013 tax year." 818 ROA Vol. I at 77. That version of the MCC defined "real property" as including "improvements," "fixture[s]," and "machinery . . . whose use thereof is necessary to the utility of [the] land." MCC § 3.48.005(B) (1980). Thus, under the stipulated judgment for the 2013 tax year, the County agreed and the Court ordered that the

Turbines were not "improvements," "fixture[s]," and "machinery . . . whose use thereof is necessary to the utility of [the] land." See id.; 818 ROA Vol. I at 77. Since the 2013 tax year, there have been no changes to Auwahi's Turbines. 818 ROA Vol. I at 75.[3]

C. To circumvent the Kaheawa decision, the County Amends the MCC to Include Turbines in the Definition of "Real Property."

In response to the Tax Appeal Court's ruling in Kaheawa, in 2013 the County amended its definition of "real property" in the MCC to include towers and turbines, as follows:

> . . . all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same; and any fixture which is erected on or affixed to such land, buildings, structures, fences, and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof:
> 1. Whose use thereof increases the value to, or is necessary to the utility of such land, buildings, structures, fences, and improvements; or
> 2. Whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops; or
> 3. Any and all wind energy conversion property that is used to convert wind energy to a form of usable energy, including, but not limited to, a wind charger, windmill, wind turbine, tower, and electrical equipment, pad mount transformers, power lines, and substation, and other such components.

MCC § 3.48.005 (2013) (emphasis added). Based on this amendment, the County classified Auwahi's Turbines as "real property" for tax years 2014, 2015 and 2016. 819 ROA at 26; 818 ROA Vol. I at 19; 820 ROA at 27.

D. Auwahi Challenges the Tax Assessments for Tax Years 2014, 2015 and 2016 as Unconstitutional.

Auwahi appealed the tax assessments for tax years 2014, 2015 and 2016 (the "Tax Assessments") to the Board of Review for the County of Maui (the "Board"). After the Board

[3] This statement was accurate at the time Auwahi filed its motion for summary judgment. Thereafter, one of Auwahi's Turbines was damaged and the tower and turbine were removed and replaced.

upheld the Tax Assessments for those three years, Auwahi appealed the assessments to the Tax Appeal Court. See 819 ROA at 6-172; 818 ROA Vol. I at 6-23; 820 ROA at 6-30.

On August 31, 2016, Auwahi moved for summary judgment in its appeal of the tax assessments for tax year 2015. 818 ROA Vol. I at 49-230. Auwahi argued that the County exceeded its taxing authority by classifying and taxing the Turbines as "real property," thus the Tax Assessments were invalid Id. at 71-72. Specifically, Auwahi explained that article VIII, section 3 of the Hawai'i Constitution granted the counties only the authority to tax "real property," not personal property. Id. at 61-62. Thus, the scope of the authority granted to the counties was limited to "real property" as it was defined at the time section 3 was promulgated. Id. at 60-63. At the time, "real property" was defined as it was at common law. Id. at 62. Accordingly, section 3 granted the counties the authority to tax only that which fell into the common law definition of "real property." Id. at 62-63.

Auwahi argued that the Turbines did not fall into this definition because the Turbines were neither necessary to the utility of the land nor intended to be permanent. Id. at 65-69. To support this assertion, Auwahi submitted the declaration of James R. Asay, Director - Corporate Tax of Sempra Energy, a parent company of Auwahi. Mr. Asay declared:

- Auwahi's Turbines are machinery and equipment. Id. at 74. The turbines are mounted on towers, which are bolted onto poured concrete foundation slabs. Id. at 74, 227. The Turbines can be unbolted and removed without any harm to either the equipment or the land. Id. at 74.
- The Turbines are not necessary to the utility of the land. Id. The Turbines could only be used for the particular business of a wind farm and are devoted entirely to the business conducted on the Property. Id. The Turbines are not integrated with and of permanent utility to the land regardless of future use. Id. The Turbines would have no significant value to someone other than another wind farmer, and if the land were devoted to any other use than the electricity-generation business, the Turbines would simply get in the way. Id. at 74-75. The cost to operate and maintain the Turbines would be much too high

to make economic sense for some other business to use. Id. at 75. Moreover, the Turbines cannot guaranty a steady flow of electrical power due to the unpredictability of the wind conditions. Id. At times, due to either lack of wind or wind in excess of the Turbines' maximum capacity, the Turbines have to be shut down. Id.

- The Turbines were not intended to be permanent additions to the land. Id. Auwahi expects to repair, modify, or possibly upgrade the Turbines for its business. Id. The Turbines are bolted to the concrete foundation to stabilize the Turbines for use in the wind-farm business. Id. The Turbines were not built on-site from construction blueprints, but rather were purchased as commercially available hardware with some assembly required. Id. The turbines came with an instruction booklet. Id. Auwahi did not have to obtain a building permit, or submit plans and drawings, for the Turbines. Id. Under Auwahi's lease for the Property, Auwahi may remove the Turbines at any time and upon termination of the lease, Auwahi must remove the Turbines from the premises. Id. at 75.

Auwahi argued that because the Turbines did not fall into the common law definition of "real property," the County lacked the authority to tax the Turbines as "real property" and the Tax Assessments were invalid. Id. at 71-72.

The County opposed Auwahi's motion for summary judgment, arguing that section 3 conferred on the counties not only the power to tax "real property" but also the power to define "real property." 818 ROA Vol. II at 18-20. Therefore, the County acted within its authority when it defined "real property" to explicitly include the Turbines and taxed the Turbines on that basis. Id. at 19-20. The County offered no evidence or argument disputing the removability of the Turbines. See generally id. at 6-372.

The parties subsequently agreed to continue the hearing on Auwahi's motion for summary judgment to permit additional discovery and to allow the motion to be heard at the same time as Kaheawa's motion for summary judgment in its pending appeals. See 818 ROA Vol. III at 8-9, 13-14.

On February 3, 2017 the County filed a motion for summary judgment asserting the same dispositive issues as raised in Auwahi's motion for summary judgment. See 818 ROA Vol. IV at 5-590. The County argued that MCC § 3.48.005 as amended was valid because article VIII, section 3 of the Hawai'i Constitution contained no limit on the definition of "real property." Id. at 19-21. The County also argued that Turbines added value to the Property and were indisputably used to convert wind energy. Id. at 21-22. The County offered no evidence or argument disputing the removability of the Turbines. See generally id. at 5-590.

On February 13, 2017, the Tax Appeal Court held a joint hearing on Kaheawa's and Auwahi's motions for summary judgment. SCOT-0000816, Dkt. 13 (transcript of 2/13/17 hearing) ("Tr."). At the hearing, the Tax Appeal Court posed the question whether the 1978 Constitutional Conventioneers intended to transfer to the counties the power to redefine "real property" to include items of personal property for taxation purposes. Tr. at 3:19-23. Appellees argued that the language of section 3 was itself limiting in that it restricted the counties' taxing authority to the "taxation of real property." Id. 4:13-8:19. As defined at the time, by both statute and common law, "real property" did not include machinery and equipment that is only useful in the context of a specific business and not generally necessary for the use of the property. Id. The County argued that "[w]hat was granted to the counties was complete authority over what to define and codify what becomes assessable and taxable real estate." Id. at 9:22-10:25. Relying on the minutes from the 1978 Constitutional Convention, the County asserted that because there was no explicit exclusion of policy making from the authority granted to the counties, policy making power must have been granted to the counties. Id. at 15:24-16:3. Kaheawa noted that in those same minutes, the 1978 Constitutional Conventioneers expressed concerns that the counties' taxing authority needed to be limited. Id. at 29:25-30:19 (quoting comments from Delegate Souki stating, "I want to alert the delegates here that the intent of this section, providing for the exclusive power of real property taxation, is not so that the counties can increase their revenue or increase their taxing powers, it is to provide for better management of the taxing power" and

summarizing comments from Delegate Crozier that he was "okay with the counties getting control over real property tax, but I'm a little concerned that they could go too far").

Considering the authority the counties had asked for, the Constitutional Conventioneers concerns relating to the "potency of policy making power," and the reasons why the Conventioneers wanted to transfer taxing authority to the counties, the Tax Appeal Court was "unable to conclude that the Constitutional Convention in 1978 intended to transfer to the counties policy making powers." Id. at 38:24-39:7. The Tax Appeal Court further reasoned that "if the counties have the power to redefine real property so broadly as to include chattel, then there may be no end to what the counties will ultimately do with respect to taxing chattel that are located upon real property." Id. at 40:6-10. Accordingly, the Court granted summary judgment in favor of Appellees. Id. at 41:24-42:15.

On April 26, 2017, the Tax Appeal Court entered its Order Granting Taxpayer-Appellant Auwahi Wind Energy LLC's August 31, 2016 Motion for Summary Judgment, 818 ROA Vol. V at 77-78, and on May 15, 2017, it entered its Order Denying Appellee County of Maui's February 3, 2017 Motion for Summary Judgment and for Dismissal of Taxpayer-Appellant Auwahi Wind Energy LLC's Tax Appeal.[4] Id. at 107-08. Based on these two orders, Auwahi and the County stipulated to a final judgment for the appeal of tax years 2015, id. at 109-10, 2014, 819 ROA at 246, and 2016, 820 ROA at 169-70.

The County subsequently appealed the stipulated final judgments for tax years 2014, 2015, and 2016.

III. POINTS OF ERROR

The County fails to comply with Rule 28(b)(4) of the Hawai'i Rules of Appellate Procedure, which requires:

[4] The County's motion for summary judgment was denied without hearing or further briefing as the County conceded that its motion raised the same dispositive issue as Kaheawa's and Auwahi's motions for summary judgment. See Tr. 43:20-24.

> (4) A concise statement of the points of error set forth in separately numbered paragraphs. Each point shall state: (i) the alleged error committed by the court or agency; (ii) where in the record the alleged error occurred; and (iii) where in the record the alleged error was objected to or the manner in which the alleged error was brought to the attention of the court or agency.

Haw. R. App. P. 28(b)(4) (emphasis added). In its Opening Brief, the County identifies four alleged points of error but does not identify "where in the record the alleged error occurred," or "where in the record the alleged error was objected to." See Opening Brief at 18-19. Thus, in accordance with Rule 28(b)(4), the County's points of error should be disregarded. See Haw. R. App. P. 28(b)(4) ("Points not presented in accordance with this section will be disregarded[.]").

IV. STANDARD OF REVIEW

A. Summary Judgment Standard.

The appellate court reviews "a circuit court's grant or denial of summary judgment de novo under the same standard applied by the circuit court." Haw. Cnty. Fed. Credit Union v. Keka, 94 Hawai'i 213, 221, 11 P.3d 1, 9 (2000) (quotation marks and brackets omitted). A grant of summary judgment is appropriate "where there is no genuine issue as to any material fact and the moving party is entitled to judgment as a matter of law." Balthazar v. Verizon Haw., Inc., 109 Hawai'i 69, 72, 123 P.3d 194, 197 (2005) (quotation marks omitted). "[O]nce the movant satisfies the initial burden of showing the absence of a genuine issue of material fact, the burden shifts to the opponent to present specific facts showing that there remains a genuine issue for trial." Arimizu v. Fin. Sec. Ins. Co., 5 Haw. App. 106, 106, 679 P.2d 627, 629 (1984). The nonmoving party "must be able to point to some facts which refute the proof of the movant in some material portion . . . [and] must come forward with some evidentiary matters to support [their] position." Costa v. Able Distribs., 3 Haw. App. 486, 489, 653 P.2d 101, 104 (1982). The nonmoving party must present "specific evidence of discrepancies or contradiction." Id. at 489, 653 P.2d at 104. The nonmoving party cannot discharge its burden by "alleging conclusions, 'nor [is it] entitled to a trial on the basis of the hope that [it] can produce some evidence at that time."

Henderson v. Prof'l Coatings Corp., 72 Haw. 387, 401, 819 P.2d 84, 92 (1991) ("Bare allegations or factually unsupported conclusions are insufficient to raise a genuine issue of material fact[.]").

"[W]here the decision below is correct it must be affirmed by the appellate court though the lower tribunal gave a wrong reason for its actions." Agsalud v. Lee, 66 Haw. 425, 430, 664 P.2d 734, 738 (1983) (quotation marks and citation omitted).

B. Standard for Interpretation of Constitutional Provisions.

In answering questions of constitutional law, the Court "exercis[es] [its] own independent constitutional judgment based on the facts of the case." State v. Arceo, 84 Hawai'i 1, 11, 928 P.2d 843, 853 (1996) (quotation marks and citation omitted). Thus, questions of constitutional law are reviewed under the right/wrong standard. Id.

"[T]he Hawai'i Constitution must be construed with due regard to the intent of the framers and the people adopting it, and the fundamental principle in interpreting a constitutional provision is to give effect to that intent." Hawaii State AFL-CIO v. Yoshina, 84 Hawai'i 374, 376, 935 P.2d 89, 91 (1997).

In construing a constitutional provision, we consider the words "found in the instrument itself." Id. "[T]he general rule is that, if the words used in a constitutional provision . . . are clear and unambiguous, they are to be construed as they are written." Id. "In this regard, the settled rule is that in the construction of a constitutional provision the words are presumed to be used in their natural sense unless the context furnishes some ground to control, qualify, or enlarge them." Id.

We also consider context. "'[A] constitutional provision must be construed in connection with other provisions of the instrument, and also in the light of the circumstances under which it was adopted and the history which preceded it.'" Cnty. of Kaua'i ex rel. Nakazawa v. Baptiste, 115 Hawai'i 15, 43, 165 P.3d 916, 944 (2007) (quoting Blair v. Harris, 98 Hawai'i 176, 179, 45 P.3d 798, 801 (2002)). "[T]he framers of [a constitutional provision] are deemed to have been

aware of the statutory scheme in effect at the time that [the provision] was promulgated." Blair, 98 Hawai‘i at 180, 45 P.3d at 802. They are deemed to have been equally aware of common law principles. See Yoshina, 84 Hawai‘i at 377, 935 P.2d at 92 ("The fact that the framers of our constitution and those who voted to adopt it were aware of the meanings of 'ballots' and 'cast' is apparent from contemporaneous election statutes and judicial decisions."). "It is . . . a very reasonable rule that a State constitution shall be understood and construed in the light and by the assistance of the common law, and with the fact in view that its rules are still left in force." Territory v. Scully, 22 Haw. 618, 630 (Terr. 1915) (interpreting statute in light of common law). "[The constitution's] definitions we are to draw from that great [common law] fountain." Id. "[I]n judging what [the constitution] means, we are to keep in mind that it is not the beginning of law for the State, but that it assumes the existence and a well understood system which is still to remain in force and be administered, but under such limitations and restrictions as that instrument imposes." Id.

The Hawai‘i Supreme Court is the "final arbiter of the meaning of the provisions of the Hawai‘i Constitution." State v. Santiago, 53 Haw. 254, 266, 492 P.2d 657, 664 (1971).

C. Standard for Interpretation of Tax Laws.

"Tax laws should be strictly construed and any doubt resolved in favor of the public." In re Assessment of Taxes, Commercial Pac. Cable Co., 16 Haw. 396, 400 (1905) (citing Cooley on Taxation). As Cooley explains, "[c]onstitutional provisions, or statute, claimed to delegate the power to tax will be strictly construed in favor of the taxpayer, in determining whether any power to tax has been delegated and also, where it is conceded that some power to tax has been delegated, in determining the scope of the delegated power." 1 Cooley, Taxation § 83 (4th ed.). "As the power to tax is the power to destroy, the power delegated by the Constitution should be strictly construed, and cannot be extended by mere inference and implication." Daigle v. Opelousas, G. & N.E. Ry. Co., 50 So. 846, 848 (La. 1909).

V. ARGUMENT

A. Article VIII, Section 3 of the Hawai‘i Constitution Limits the Counties' Taxing Authority to "Real Property" as Defined in 1978.

"Municipal corporations are solely the creation of the State." State v. Medeiros, 89 Hawai‘i 361, 365, 973 P.2d 736, 740 (1999) (quotation marks and citation omitted). "As such, they may exercise only those powers which have been delegated to them by the State legislature." Id. (quotation marks, citation, and brackets omitted). "Accordingly, if no provision of the Hawai‘i Constitution or the HRS empowers the [County] to enact and enforce the [provision], the [provision] is invalid." Id. As demonstrated below, the County was only granted the authority to tax "real property," not personal property. Accordingly, MCC § 3.48.005 as amended that purports to tax personal property as "real property" is invalid. Id.

1. Only the authority to tax "real property" was transferred to the counties.

The counties' taxing authority is granted by article VIII, section 3 of the Hawai‘i Constitution, which provides in relevant part as follows:

> The taxing power shall be reserved to the State, except so much thereof as may be delegated by the legislature to the political subdivisions, and except that all functions, powers and duties relating to the taxation of real property shall be exercised exclusively by the counties, with the exception of Kalawao.

Haw. Const. art. VIII, § 3 (emphasis added). By its plain language, section 3 conferred upon the counties only "functions, powers and duties relating to the taxation of real property."[5] Id. (emphasis added); see also Anzai, 99 Hawai‘i at 510, 57 P.3d at 435 ("[F]ollowing the 1978 State Constitutional Convention, article VII, section 3 of the Hawai‘i Constitution was

[5] "Real property" as used in the Hawai‘i Constitution is not synonymous with all "property" as other sections of the Hawai‘i Constitution refer to both real and personal property. See, e.g., Haw. Const. art. X, section 5 ("It shall have title to all the real and personal property now or hereafter set aside or conveyed to it . . . ."); id., art. XII, section 5 ("The Office of Hawaiian Affairs shall hold title to all the real and personal property now or hereafter set aside or conveyed to it . . . ."); id. section 6 (". . . and to exercise control over real and personal property . . . .").

renumbered and amended to include a provision vesting exclusive taxation authority over real property in the counties."); Haw. Const. art. 18, § 6 (stating "effective date and application of real property tax transfer" under section 3); HRS § 246A-1 (providing procedures for "the orderly transfer of . . . functions" "relating to the taxation of real property heretofore reserved to the State"); Anzai, 99 Hawai'i at 511, 57 P.3d at 436 (noting "transfer of real property taxation powers to the counties" and the "transfer of the taxing authority"); id. at 519, 57 P.3d at 444 ("'1978 constitutional amendments . . . transferred 'all functions, powers and duties relating to taxation of real property'").

Although not defined in section 3, "real property" had a well understood meaning leading up to and following the enactment of the provision. Prior to the promulgation of section 3, "all taxation authority was vested in the State" pursuant to Hawai'i Constitution article VII, section 3. Anzai, 99 Hawai'i at 510, 57 P.3d at 435. The State thus had the authority to tax both personal property and real property. See id. In exercising this authority, the State defined "real property" in HRS chapter 246 as follows:

> "Property" or "real property" means and includes all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same, and any fixture which is erected on or affixed to such land, buildings, structures, fences, and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, or whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops.
>
> HRS § 246-1 (1967).

This statutory definition accorded the dictionary definition as well as the common law understanding of "real property," with the exception of the exclusion of growing crops. For example, Black's Law Dictionary 1383 (4th ed. 1968) defines "real property" as "[l]and, and generally whatever is erected or growing upon or affixed to the land." Likewise, Webster's Third New International Dictionary 1818, 1890 (1981) defines "property" as including "real estate,"

which means "land and its permanently affixed buildings or other structures together with its improvements and its natural assets (as minerals, crops, waters) and with the inclusion of corporeal rights or incorporeal rights that follow ownership of the land and with the interests in such rights." See Voellmy v. Broderick, 91 Hawai'i 125, 129, 980 P.2d 999, 1003 (Ct. App. 1999) ("Where a term is not defined by statute, this court may rely on extrinsic aids, such as dictionaries, in discerning the ordinary meaning of statutory terms."); State v. Guyton, 135 Hawai'i 372, 378-79, 351 P.3d 1138, 1144-45 (2015) (relying on dictionary definition of "residence" and "yard" to interpret statute); Ross v. Stouffer Hotel Co. (Hawai'i) Ltd., 76 Hawai'i 454, 461, 8789 P.2d 1037, 1044 (1994) (using dictionary definition of "discharge" to determine meaning of statute).

Similarly, at common law, "real property" is understood to "consist[] of such things as are permanent, fixed, and immovable, including lands, tenements, and hereditaments of all kinds, which are not annexed to the person or cannot be moved from the place in which they exist." 63C Am. Jur. Property § 11 (updated May 2016). It "includes not only the land itself, but also all buildings, fixtures, and improvements, and the rights and privileges appurtenant thereto." Id. See also Peters v. Weatherwax, 69 Haw. 21, 26-27, 731 P.2d 157, 161 (1987) ("[T]he interpretation of well-defined words and phrases in the common law carries over to statutes dealing with the same or similar subject matter.").

Against this statutory and common law background, section 3 was promulgated. Thus, "real property" as it appears in section 3 must mean:

> all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same, and any fixture which is erected on or affixed to such land, buildings, structures, fences, and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, or whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements.

See Yoshina, 84 Hawai‘i at 376, 935 P.2d at 91 (“[T]he general rule is that, if the words used in a constitutional provision . . . are clear and unambiguous, they are to be construed as they are written.”); see also Blair, 98 Hawai‘i at 180, 45 P.3d at 802 (stating that “framers . . . are deemed to have been aware of the statutory scheme in effect at the time that [the provision] was promulgated); Yoshina, 84 Hawai‘i at 377, 935 P.2d at 92 (demonstrating that framers are deemed to be equally aware of common law principles).

Consistent with the concept that section 3 incorporated the common law and statutory definitions of “real property,” the counties of Hawai‘i passed ordinances defining “real property” in the same way as HRS § 246-1 (1967):

> “Property” or “real property” means and includes all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same, and any fixture which is erected on or affixed to such land, building, structures, fences, and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, of whose removal cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops.
>
> Hawai‘i County Code § 19-2 (1981).
>
> “Property” and “real property” shall mean and include all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same, and any fixture which is erected on or affixed to such land, building structures, fences, and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, of whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops.
>
> Revised Ordinances of Honolulu § 8-1.2 (1983).
>
> “Property” or “real property” shall mean and include all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same, and any fixture which is erected on or affixed to such land, buildings, structures, fences, and improvements, including all machinery and

> other mechanical or allied equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, or whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops. The temporal division of any interest in real property shall not, in and of itself, affect its status as real property.

Kauai County Code § 5A-1.1.

In 1980 the County also passed an ordinance (MCC § 3.48.005) defining "real property" in the same way as HRS § 246-1 (1967):

> "Property" or "real property" means and includes all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same, and any fixture which is erected on or affixed to such land, building structures, fences and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, or whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops.

This definition would remain unchanged for over three decades. To the extent that property falls outside of this well-established definition, the counties necessarily lack the authority to tax such property.

2. Section 3 does not confer upon the counties a general taxing power (beyond real property) or the unrestricted authority to define "real property."

The County argues that section 3 conferred upon the counties a "general grant of authority" that permits the counties unlimited authority to "define real property." See Opening Brief at 20-21. Contrary to the County's argument, section 3 undoubtedly conferred upon the counties a limited taxing authority confined to the subset of property defined as "real property." See Yoshina, 84 Hawai‘i at 376, 935 P.2d at 91 ("[T]he general rule is that, if the words used in a constitutional provision . . . are clear and unambiguous, they are to be construed as they are written."). There is nothing in the language of section 3 granting the counties either a general taxing authority or the authority to tax personal property.

The County selectively relies upon the minutes from the 1978 Constitutional Convention to support its claim of unrestrained taxing authority. The minutes as a whole demonstrate that there was no intention to grant the counties unfettered taxing power. For example, the County myopically relies on the following statement from the Standing Committee Report to support its assertion of a general taxing authority: "A general grant of taxing powers to the counties would include . . . e) formulation of basic policies." See Opening Brief at 20; 818 ROA Vol. II at 49. However, the two preceding sentences restrict the "general grant of taxing powers" to the taxation of "real property." See 818 ROA Vol. II at 49 ("In recent years, county officials have advocated the transfer of real property functions from the State to the counties. Such a move, it is felt, would permit counties to use the power to tax real property in a more effective manner." (emphases added)). This limitation is confirmed later in the minutes where it states: "Your Committee concludes that the power to levy a tax on real property should be granted to the counties," id., and manifested in the language of section 3 itself: ". . . all functions, powers and duties relating to the taxation of real property shall be exercised exclusively by the counties . . . ." Haw. Const., art. VIII, § 3 (emphasis added). The County cannot simply disregard the qualifying words "real property." See Potter v. Haw. Newspaper Agency, 89 Hawai'i 411, 422, 974 P.2d 51, 62-63 (1999) ("Our rules of statutory construction requires us to reject an interpretation of [a] statute that renders any part of the statutory language a nullity."). Thus, while the County may have "all taxing powers relating to real property," see 818 ROA Vol. II at 55, this power is confined to the taxation of "real property" and does not extend to the taxation of personal property.

The limitation of the counties' taxing authority is further confirmed by the Committee's decision to deny the counties "the power to levy a general excise tax." 818 ROA Vol. II at 49. In reaching this conclusion, the Committee agreed that "[t]he counties, should they desire additional revenues, have the power to raise the added revenue through the real property tax by increasing the rates." Id. (emphasis added). Importantly, the Committee contemplated that the counties

could increase revenue by increasing the tax rate, not by expanding the scope of taxable property.

Despite this, the County argues that, because the counties were granted the ability to formulate "basic policies," the counties must have been given the discretion to formulate said policies without limitation. The County's argument is illogical. The County can exercise policy making authority without exceeding the power granted to it by section 3. Gardens at West Maui Vacation Club v. County of Maui, 90 Hawai'i 334, 978 P.2d 772 (1999), relied upon by the County, is a perfect example. In Gardens, the issue was whether the County had the authority to enact differential tax rates. 90 Hawai'i at 341, 978 P.2d at 779. The court determined that HRS § 248-2 which required the State to maintain a single rate of tax was repealed by implication by the subsequent enactment of article VIII, section 3 of the Hawai'i Constitution. Id. Looking at the Committee of the Whole Report No. 7 from the 1978 Constitutional Convention, the court determined that "[t]here are no provisions limiting or restricting the tax rate structure determined by the counties." Id. Thus, the counties could implement differential tax rates for policy reasons. Id. at 343, 978 P.2d at 781 (noting that the County's reclassification of timeshares from "apartment" to "hotel resort" served the policy of eliminating disparate tax treatment). Simply because the counties can implement policies within the authority granted to them by section 3 does not mean that the court has sanctioned unrestrained policy making, as the County suggests. See Opening Brief at 21 ("If there were any lingering doubts as to the counties' function, power, and duty to make policy as part of its real property tax program and pursuant to its real property tax authority, the Supreme Court of Hawai'i has dispelled it."). The County is still limited to policy making through the taxation of real property, not personal property.

Along the same lines, the County can define "real property" in a manner that is not ultra vires. For example, the County could exclude a class of property from the definition of "real property" that is otherwise taxable. This is consistent with the reason the Constitutional Conventioneers included the phrase "all functions, powers and duties relating to the taxation of real property" in section 3, which was to clarify that the counties would have the power to set

exemptions. See 818 ROA Vol. II at 55 (stating that the phrase was added "in order to clarify the standing committee's intent to grant all taxing powers relating to real property to the counties, except Kalawao [as] [t]here was some question under the earlier language as to whether or not the counties would have the power to set exemptions"). That the County may redefine "real property" in a limiting fashion does not concomitantly give it the power to expand the definition of "real property" to include personal property. The County is still confined to the authority granted to it by section 3 which limits the County's authority to the taxation of "real property." See Medeiros, 89 Hawai'i at 365, 973 P.2d at 740 (stating that counties "may exercise only those powers which have been delegated to them by the State legislature").

The County also incorrectly implies that the description of the State's taxing authority prior to the promulgation of section 3 necessarily describes the counties' taxing authority post promulgation. Prior to the promulgation of section 3, "all taxation authority was vested in the State" pursuant to Hawai'i Constitution article VII, section 3. Anzai, 99 Hawai'i at 510, 57 P.3d at 435 (emphasis added). Thus, at the time, if the State wanted to tax personal property as "real property," it could do so because the State had the power to tax both real property and personal property. By contrast, the County could not tax personal property simply by classifying it as "real property" because, unlike the State, the County was not granted taxing authority over personal property. See Haw. Const., art. VIII, § 3. Therefore, the fact that Standing Committee Report No. 42 identified "[b]asic policies defining real property [as] . . . the responsibility of state lawmakers," see 818 ROA Vol. II at 48 (emphasis added), and that "the State may now utilize the real property tax as an instrument of land use and economic policy,"[6] id. at 49, does not elucidate the authority granted to the counties.

For this same reason, the New Hampshire cases cited by the County in support of its assertion that the County has the unrestricted power to redefine "real property" are inapposite.

---

[6] "[T]hat the State may now utilize the real property tax as an instrument of land use and economic policy," as quoted by the County, see Opening Brief at 20, is actually one of "two major considerations against transferring real property functions." See 818 ROA Vol. II at 49.

See Opening Brief at 22-23. Those New Hampshire cases address the legislature's (i.e., the State's) authority to define realty in such a way that it includes personal property. See Opinion of the Justices, 697 A.2d 125, 128 (N.H. 1997) ("The legislature has the power to make any kind of property realty for purposes of taxation." (emphasis added)); King Ridge, Inc. v. Town of Sutton, 340 A.2d 106, 109-110 (N.H. 1975) (describing the "undoubted power of the legislature in this State to make any type of property realty for purposes of taxation even though it is personalty at common law" (emphasis added)). Like the State of Hawai'i prior to the promulgation of section 3, the State of New Hampshire holds all taxing authority. See King Ridge, Inc., 340 A.2d at 108 ("As a general rule taxes cannot be assessed and collected in this State except by authority of the legislature."). Thus, the State of New Hampshire may "make any kind of property realty for purposes of taxation," id. at 109-110, because it has the power to tax both real property and personal property. Id. at 108. That is not the case here for the County.

To the extent that the County argues that the lack of an explicit statement prohibiting the counties from taxing personal property or reserving the taxation of personal property to the State demonstrates that the counties do have the authority to tax personal property, that argument has no legal support. "Municipal corporations and local governmental subdivisions of the state have no inherent power to levy taxes." People ex rel. Gish v. Lake Erie & W.R. Co., 93 N.E. 288, 288 (Ill. 1910). "[I]f any grant of power to tax is made by the Legislature to municipal corporations or local authorities, they must be able to show their warrant for the exercise of the power in the words of the grant, which are to be strictly construed." Id. "The reasonable presumption is that the state has granted, in clear and unmistakable terms, all it has intended to grant at all." Id. (citing Cooley on Taxation, 209); see also Dental Serv. of Mass., Inc. v. Commn'r of Rev., 94 N.E.3d 802, 805 (Mass. 2018) ("[W]e adhere to the familiar principle that tax statutes are to be strictly construed; we will not read into a statute an authority to tax that it does not plainly confer."); Stam v. State, 275 S.E.2d 439, 441 (N.C. 1981) ("It is likewise an established rule that the authority of municipalities to levy a tax must be made to clearly appear, and that doubts, if any, as to the power sought to be exercised, must be resolved against the municipality."). Thus,

the County's reliance on the lack of authority prohibiting the counties from taxing personal property does not show a clear grant of such an authority. See Dental Serv. of Mass., Inc., 94 N.E.3d at 805. To the extent that there is any doubt, this must be resolved against the County. See Stam, 275 S.E.2d at 441.

B. Informed by the Statutory and Common Law Definitions and the Analysis in Kaheawa, the Turbines Are Not "Fixtures" and Thus Not "Real Property."

Because the County lacks the authority to tax personal property, it follows that the County lacks the authority to define "real property" in a way that includes personal property for taxation purposes. The County argues that even if its authority is so limited, "MCC § 3.48.005 as amended does not redefine 'personalty' as 'realty.'" Opening Brief at 23. To support this untenable position, the County attacks the ICA's reliance on Zangerle v. Republic Steel Corp., 60 N.E.2d 170 (Ohio 1945), and asserts that when realty becomes a "fixture" should be determined "with appraisal concepts of use, utility, and value to land." Id. There is no legal support for the County's position.

1. The County is attempting to tax personal property as "real property" by improperly expanding the definition of a "fixture."

The County cannot credibly argue that it is not attempting to tax personal property by redefining it as "real property." MCC § 3.48.005 as amended broadens the common law criteria for determining whether personal property constitutes a "fixture" and thus expands the scope of "real property." The prior version of section 3.48.005 read as follows:

> "Property" or "real property" means and includes all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same and any fixture which is erected on or affixed to such land, building structures, fences and improvements, including all machinery and other mechanical equipment and the foundations thereof, whose use thereof is necessary to the utility of such land, buildings, structures, fences, and improvements, or whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops.

MCC § 3.48.005 (2012). Thus, under the prior version of section 3.48.005, machinery and mechanical equipment were considered fixtures if (1) their use was necessary to the utility of the land, or (2) could not be removed without causing substantial damage to the land, buildings, structures, fences, or improvements. Accordingly, machinery and mechanical equipment not considered fixtures were not "real property." See Kaheawa, 135 Hawai‘i at 211, 347 P.3d at 641. As discussed supra, this is identical to the statutory definition of "real property" in effect immediately prior to the promulgation of article VIII, section 3 of the Hawai‘i Constitution and consistent with the common law definition of "real property" in 1978. See supra Section IV.A.1.

The amended version of MCC § 3.48.005 defines "real property" in a markedly different fashion:

> "Property" or "real property" means and includes all land and appurtenances thereof and the buildings, structures, fences, and improvements erected on or affixed to the same; and any fixture which is erected on or affixed to such land, buildings, structures, fences, and improvements, including all machinery and other mechanical or other allied equipment and the foundations thereof:
> 1. Whose use thereof increases the value to, or is necessary to the utility of such land, buildings, structures, fences, and improvements; or
> 2. Whose removal therefrom cannot be accomplished without substantial damage to such land, buildings, structures, fences, and improvements, excluding, however, any growing crops; or
> 3. Any and all wind energy conversion property that is used to convert wind energy to a form of usable energy, including, but not limited to, a wind charger, windmill, wind turbine, tower and electrical equipment, pad mount transformers, power lines, and substation, and other such components.

MCC § 3.48.005 (2013). Thus, under the amended version of section 3.48.005, machinery and mechanical equipment are considered fixtures if (1) their use increases value to the land, buildings, structures, fences, and improvements; (2) they are necessary to the utility of the land, buildings, structures, fences, and improvements; (3) they could not be removed without causing substantial damage to the land, buildings, structures, fences, or improvements; or (4) they are wind energy conversion property used to convert wind energy to a form of usable energy. Accordingly, machinery and mechanical equipment that were not considered "real

property" under the prior version of section 3.48.005 because they were neither necessary to the utility of the land nor could not be removed without causing substantial damage to the land would now be considered "real property" if they increase the value to the land or are wind energy conversion property. In other words, that which was personal property under both the prior version of section 3.48.005 and common law would now be considered "real property" under the amended version of section 3.48.005 and taxed accordingly. The County's argument that it is not classifying personalty as realty is thus without merit.

The County attempts to justify its taxation of personal property by equating MCC § 3.48.005 as amended with HRS § 246-1. See Opening Brief at 24. Specifically, the County argues that HRS § 246-1 "does not exclude any type of property from potentially . . . becoming an assessable accession to the land." Id. (emphasis in original). Rather, any type of property may become an accession to realty, like with MCC § 3.48.005 "if they meet the requisite criteria provided in the MCC." Id. (emphasis in original). The County mischaracterizes the issue. While HRS § 246-1 does not exclude any type of property from becoming a fixture, with the exception of crops, it does set forth requirements that must be satisfied for an item to be deemed a fixture—(1) the item's use must be necessary to the utility of the land, or (2) the item could not be removed without causing substantial damage to the land, buildings, structures, fences, or improvements. See HRS § 246-1. The "requisite criteria provided in the MCC" materially differs from HRS § 246-1,[7] as discussed supra. Therein lies the issue. By determining that property that adds value to the land and wind energy conversion equipment are "real property" even if they are not necessary to the utility of the land and can be removed without causing substantial damage to the land and the property, the County impermissibly includes personal property in its definition of "real property." As discussed supra, the County does not have the authority to redefine "real property" in such a way. See supra Section IV.A. Because "no provision of the Hawai‘i

[7] To be clear, the pre-2013 version of MCC § 3.48.005 is not at issue. Thus, the fact that the pre-2013 version of section 3.48.005 is virtually identical to HRS § 246-1 has no bearing on this case. To the extent that the County asserts that the amended version of MCC § 3.48.005 is "virtually identical" to or "identically track[s]" HRS § 246-1, that is demonstrably incorrect.

Constitution or the HRS empowers the [County] to enact and enforce [MCC § 3.48.005 as amended], the [provision] is invalid." Medeiros, 89 Hawai'i at 365, 973 P.2d at 740.

2. The ICA appropriately adopted the Zangerle fixture test in Kaheawa because it is consistent with Hawai'i case law.

In an attempt to save the ordinance, the County resorts to attacking the ICA decision in Kaheawa, notwithstanding the fact that this Court rejected the County's request for review of the ICA's decision in that case. In Kaheawa, the ICA utilized "traditional common law 'fixture' analysis to determine that Turbines were not fixtures under the prior version of MCC § 3.48.005. Kaheawa, 135 Hawai'i at 210-11, 347 P.3d at 640-41. In making this determination, the ICA adopted the fixture analysis set forth in Zangerle, distinguishing between articles that "are merely accessory to the business" which remain personal property and articles that "have been annexed to the premises as accessory to it, whatever business may be carried upon it" thus becoming part of the realty. Id. (quoting Zangerle, 60 N.E.2d at 177).

The County first attempts to distinguish the ICA's conclusion that Turbines are not "real property" by pointing out that "that case 'turn[ed] on whether the wind turbines are either 'improvements' or 'fixtures' within the definition of 'real property' under MCC § 3.48.005.'" Opening Brief at 26 (emphasis in original). This is a distinction without a difference because, as discussed supra, the language of MCC § 3.48.005 analyzed by the ICA is identical to the statutory definition of "real property" prior to the enactment of article VIII, section 3 of the Hawai'i Constitution and consistent with the common law definition of "real property" at the same time. See supra Section IV.A.1. Thus, the same analysis applies here in determining what constitutes "real property" as defined in 1978 when section 3 was promulgated.

The County then turns to discrediting Zangerle, calling the decision "dated and outmoded," and asserting that the "Supreme Court of Ohio has consistently rejected the fixture test in Zangerle." See Opening Brief at 27-33. The County quotes Kings Entertainment Co. v. Limbach, 588 N.E.2d 777 (Ohio 1992), for the proposition that the Zangerle fixture test is no

longer good law. See id. at 28. The County does not explain that the abandonment of the Zangerle fixture test was temporary. See Funtime, Inc. v. Wilkins, 822 N.E.2d 781, 786 (Ohio 2004) ("Although we previously abandoned any consideration of the appropriate-to-use test set forth in Teaf, 1 Ohio ST. 511, 1853 WL 54, for classifying real property, the General Assembly has reinstated that test for determining whether a structure is real or personal property."). Indeed, as the ICA noted, "[t]he principles in Zangerle have also been reaffirmed in more recent Ohio cases and recognized in a legal treatise." Kaheawa, 135 Hawai‘i at 211, 347 P.3d at 641; see also Metamora Elev. Co. v. Fulton Cnty. Bd. of Revision, 37 N.E.3d 1223, 1229 (Ohio 2015) (confirming propriety of appropriate-to-use test); Funtime, Inc., 822 N.E.2d at 787-88 (using Zangerle appropriate-to-use test to conclude that amusement park rides were not "real property" because there was "[n]o use independent of the amusement-park business"). Thus, contrary to the County's argument, the Zangerle fixture test remains good law.

The County also makes numerous unsupported arguments to call into question the ICA's adoption of the Zangerle fixture analysis. First, the County points to Zangerle's "distinction between agricultural uses of property and manufacturing," asserting that that distinction renders Zangerle questionable. Opening Brief at 28-29. In support of this argument, the County misrepresents Judge Bartley's quote from Teaff v. Hewitt, 1 Ohio St. 511 (1853). See id. at 29. The "distinction" in the quote referred to the presumption that "articles annexed to the freehold for the purposes of trade or manufacture" had a greater right of removal than "those made for the purposes of agriculture." See Teaff, 1 Ohio St. at 532. By contrast, the principle relied upon in Zangerle and ultimately the ICA in Kaheawa—that articles placed on the realty as accessory to the business are personal in nature—is, as noted by Judge Bartley, "supported by high authority." See id. at 535; see also Zangerle, 60 N.E.2d at 177; Kaheawa, 135 Hawai‘i at 211, 347 P.3d at 641.

Second, the County argues that, at the least, Zangerle "is of significantly limited value in interpreting the Maui County Code, and as applicable to an electrical generation facility." Opening Brief at 29 (emphasis in original). The two cases cited by the County in support of this

argument are inapposite because both decisions were based on statutory language not present here. The decision in Consolidated Edison Co. of N.Y. v. City of N.Y., 365 N.Y.S.2d 377, 80 Misc. 2d 1065 (N.Y. App. Div. 1975), was based on statutory language that explicitly included in its definition of "real property" power generating apparatus, machinery and equipment used in connection with generation and distribution of power. Id. at 1070, 1075 ("Neither would it aid the court to consider the cases holding what are or are not fixtures . . . because the Tax Law has set up a standard of its own which must govern the case." (emphasis in original)). Similarly, the decision in Appeal of Borough of Aliquippa, 175 A.2d 856 (Pa. 1961), was based on statutory language that explicitly excluded certain types of industrial equipment from the definition of "real property." Id. at 860 ("The intention of the legislature was clearly to abolish the tax on all parts of the machinery by removing machinery from real estate taxation, and with good reason."), 862 ("[I]t is obvious that the legislature, by this act, merely moved 'machinery, tools, appliances, and other equipment', which had by judicial interpretation been classified with real estate, into a separate class."). Thus, there is no authority supporting the County's assertion that Zangerle's fixture analysis is inapplicable to an electrical generation facility under common law.

Third, the County asserts that "Zangerle does not lend any special insight or advantage into defining and/or identifying what may constitute assessable real property pursuant to the Maui County Code" because of distinctions between the Ohio Constitution and Hawai'i Constitution, namely the different tax treatment for personal property in the former.[8] See Opening Brief at 29-31. This is a red herring. The court in Zangerle answered the question of whether certain machinery was a "fixture" and thus "real property" by applying common law principles. See Zangerle, 60 N.E.2d at 175. Those same common law principles are applicable

[8] The County incorrectly argues that "the Hawai'i State Constitution does not at all speak to a distinction in treatment between personal and real property." Opening brief at 30. The Hawai'i Constitution does distinguish between "real property" which falls under the taxing authority of the counties, and all other property (i.e., personal property) which remains under the taxing authority of the State. See Haw. Const., art. VIII, § 3 ("The taxing power shall be reserved to the State . . . except that all functions, powers and duties relating to the taxation of real property shall be exercised exclusively by the counties, with the exception of Kalawao.").

here where the question is whether the Turbines fall into the common law definition of "real property" and are thus within the County's taxing authority. See supra Section IV.A (establishing that article VIII, section 3 of the Hawai'i Constitution conferred upon the counties the authority to tax "real property" as defined at common law); see also Kaheawa, 135 Hawai'i at 210, 347 P.3d at 640 (looking to "traditional common law 'fixture' analysis for guidance"); Peters v. Weatherwax, 69 Haw. 21, 27, 731 P.2d 157, 161 (1987) ("[T]he interpretation of well-defined words and phrases in the common law carries over to statutes dealing with the same or similar subject matter." (citation and internal quotation marks omitted)). That the Ohio Constitution provided for different tax rates once an item was determined to be realty or personalty is of no consequence to the analysis of whether the item is realty or personalty to begin with.

Fourth, the County argues that Zangerle "is certainly not more advantageous than analyses in any other number of jurisdictions in the United States for determining 'the adaptation of the article to the use or purpose of that part of the realty with which it is connected' and that "there are several other jurisdictions which appear closer to Hawai'i's in approach . . . and which provide common law principles and precepts much more useful in interpreting Hawai'i law." Opening Brief at 30-31. The County, however, neither addresses the one Hawai'i case touching on this issue nor provides any explanation as to why other jurisdictions are "closer to Hawai'i's approach."

In adopting Zangerle's fixture test, the ICA noted that "[t]he principles discussed in Zangerle are consistent with the only Hawai'i case that appears to touch on this issue"—Cartwright v. Widemann, 9 Haw. 685 (Haw. Kingdom 1892). Kaheawa, 135 Hawai'i at 211, 347 P.3d at 632. As the ICA pointed out: "Significantly, the [Cartwright] court also stated that 'moveable machines, whose number and permanency are contingent upon the varying conditions of the business differ from engines and boilers and other articles secured by masonry and designed to be permanent and indispensable to the enjoyment of the freehold.'" Id. (quoting

Cartwright, 9 Haw. at 691).[9] Thus, like the court in Zangerle, the Cartwright court distinguished between machinery that is an accessory to the business and machinery that is "indispensable to the enjoyment of the freehold." For this reason, the Zangerle analysis is consistent with Hawai‘i law.

In fact, the cases cited by the County as "closer to Hawai‘i's in approach" are either inapposite to the issue or are inconsistent with the principles set forth in Cartwright. See NYT Cable TV v. Audubon Borough, 9 N.J. Tax 359, 367-68 (N.J. Tax. Ct. 1987) (interpreting New Jersey statute that replaced common law permanency test with inquiry into whether items of that type were "ordinarily intended to be affixed permanently to real property")[10]; T-Mobile Northease, LLC v. DeBellis, 143 A.D.3d 992, 995 (N.Y. App. Div. 2016) (stating that adaptability "contemplates both fitting the chattel to the particular purpose of the freehold, and the necessity of the chattel for complete use of the freehold"); Am. Hydro Power Partners, L.P. v. City of Clifton, 12 N.J. Tax 264, 270 (N.J. Tax Ct. 1991) (stating that by statute, the permanency of the item was determined by an objective standard); Chevron U.S.A., Inc. v. City of Perth Amboy, 9 N.J. Tax 205, 232 (N.J. Tax. Ct. 1987) (stating that by statute, the permanency of the item was determined by an objective standard); Guardian Energy, LLC v. Cnty. of Waseca, 868 N.W.2d 253, 260 (Minn. 2015) (determining that some of the tanks were excluded from taxation because they were "machinery . . . and equipment attached to or installed in real property for use in the business or production activity conducted thereon"); King Ridge, Inc. v. Town of Sutton, 340 A.2d 106, 110 (N.H. 1975) (applying statutory definition of "real

---

[9] Examples of fixtures include "drainage tubing installed on a parcel of real property, [a] cistern and related water system, [and a] heating system, [where] any subsequent buyer would have been able to make equal utilization of the system," Jarvis v. Wells Fargo Fin. (In re Jarvis), 310 B.R. 330, 338 (Bankr. N.D. Ohio 2004). On the other hand, examples of "annexations of special-purpose, manufacturing or processing machinery and structures which could be used only in a particular business or industry and not in any normal use to which the land might be devoted," see Zangerle, 60 N.E.2d at 57, include "kilns on concrete slabs, an oxygen furnace used for the manufacture of steel, a caging system for an egg production facility, a hydraulic boat lift that rests on the floor of a harbor channel, and a radio transmission tower," Jarvis, 310 B.R. at 338.

[10] See discussion infra Section V.C.2.

property" that was broader than common law definition); Nat'l Food Corp. v. Aurora Cnty. Bd. of Commn'rs, 537 N.W.2d 564, 565-66 (S.D. 1995) (applying statutory language that defined "real property" as, inter alia, "structures . . . which are permanently affixed by foundation to the land upon which they are located"); Cherry Bowl, Inc. v. Prop. Tax. App. Bd., 426 N.E.2d 326, 328 (Ill. Ct. App. 1981)[11] (applying statutory presumption that "annexations made by an owner, as in the present case, are presumed to be made with the intent to permanently improve the premises"); Consolidated Edison Co. of N.Y. v. City of N.Y., 365 N.Y.S.2d at 377 (relying on statutory language that explicitly included in its definition of "real property" power generating apparatus, machinery and equipment used in connection with generation and distribution of power); Kings Entm't Co. v. Limbach, 588 N.E.2d at 778 (relying on specific statutory language including "any property attached to land").[12] Thus, there is no legal or logical support for the County's assertion that another fixture test should be adopted.

3. The Zangerle fixture test is not vague and applies to the interpretation of the County's taxing authority under article VIII, section 3 of the Hawai'i Constitution.

The County continues to criticize the ICA's adoption of the Zangerle fixture test, asserting that the "concept of 'general inherent utility' which the Kaheawa opinion draws from Zangerle . . . is extremely vague in this context, and not useful in understanding the provisions of MCC § 3.48.005 or in the context of an appraiser's real property tax assessment." Opening Brief at 33-34. The County again mischaracterizes the issue before this Court. As explained supra, the issue here is whether the Turbines are "real property" under the common law definition and thus fall within the County's taxing authority. See supra Section IV.A (establishing that article VIII, section 3 of the Hawai'i Constitution conferred upon the counties the authority to tax "real

[11] Compare with Rothermich v. Union Planters Nat'l Bank, 10 S.W.3d 610, 617 (Mo. Ct. App. 2000) (holding that bowling pin setting machines were not fixtures and noting that under "adaptation" element "[t]he item should be peculiarly adapted to the real property or premises").

[12] Compare with Funtime, Inc., 822 N.E. 2d at 787-88 (finding that amusement park rides were not "real property" because there was "[n]o use independent of the amusement-park business").

property" as defined at common law). The principles adopted by the ICA in Kaheawa are applicable to this question.[13]

The County feigns ignorance of what "general inherent utility" could possibly mean "[b]eyond the particular use to which the land has been put." Opening Brief at 36. DirecTV, Inc. v. Town of N.H., 164 A.3d 371 (N.H. 2017), perfectly illustrates this distinction in a factually analogous scenario. In DirecTV, the taxpayer challenged the real property tax assessed on its antennas and batteries, arguing that the antennas and batteries were not "fixtures" and thus not "real property" for taxation purposes. Id. at 372. The trial court determined that the antennas and batteries were fixtures because they were "essential to the use of the building as an uplink facility" and thus "'essential to' the current use of the property." Id. at 375. On appeal, the Supreme Court of New Hampshire reversed the trial court's decision, concluding that the trial court "failed to properly apply the adaptation factor—that is, whether the item is 'specially adapted to the realty.'" Id. The court explained that "[a] review of our case law establishes that, in evaluating whether personalty has been adapted to the realty, the proper focus of the inquiry is upon the relationship of the personalty to the realty itself—the buildings or land—rather than to the business enterprise carried on at the property." Id. Applying this to the antennas, the court determined:

> [T]he antennas, although large and bolted in place, are "readily removable and transportable without affecting the utility of the underlying land, the buildings, or the equipment itself." . . . There are no peculiar characteristics of the land or the building that would render the antennas unfit for other commercial or professional uses if they were removed, and the antennas have equal utility if moved elsewhere. . . . If the antennas were removed, the only articles associated with the antennas that would remain on the land would be the concrete pads and the underground wiring, neither of which would detract from the fitness of the property for other uses.

---

[13] Contrary to the County's assertion, while the specific phrase "general inherent utility" does not appear in the Zangerle opinion, "the notion of 'general inherent utility'" does. As quoted by the ICA, the Zangerle court expounded the following: "But articles which have been annexed to the premises as accessory to it, whatever business may be carried upon it, and not peculiarly for the benefit of a present business which may be of a temporary duration, become subservient to the realty and acquire and retain its legal character." Zangerle, 60 N.E.2d at 177 (emphasis added).

Id. at 377 (citations omitted). The court ultimately concluded that "the antennas are personalty, rather than fixtures." Id. at 378. The court noted that its conclusion was "in accord with the holdings of numerous other courts in cases involving similar equipment," citing Kaheawa with approval. Id.

As DirecTV illustrates, the Zangerle fixture test adopted by the ICA in Kaheawa is neither vague nor difficult to understand. Moreover, the distinction between personal property that is "peculiar to the business being operated on the premises" and personal property that is "annexed to the premises as accessory to it, whatever business may be carried upon it" has been adopted and accepted by a number of courts and applied to various types of property. See, e.g., Zangerle, 60 N.E.2d at 177 (using test to determine that machinery was not fixture); Perez Bar & Grill v. Schneider, No. 11CA010076, 2012 WL 6105324, at *5 (Ohio Ct. App. Dec. 10, 2012) (finding, among other things, a bar and its attendant sinks, kitchen sinks and ventilation hood were peculiar to bar/restaurant business not "an integral and necessary part of the whole premises" but air conditioner that was part of central air conditioning system for entire building was "integral part of the whole premises and not adapted to benefit only the area of the building occupied by the bar and grill"); Rothermich, 10 S.W.3d at 617 (finding bowling pin spotter was not "fixture" because it was not "peculiarly adapted to the real property or premises" and was "usable at other locations"); Colonial Pipeline Co. v. State Dept. of Assessments & Taxation, 806 A.2d 648, 661 (Md. Ct. App. 2002) (concluding that pipeline was not a "fixture" because, inter alia, it was "not adapted to the use of the realty into which it is installed" and noting that "trade fixtures exception to common law rule of fixtures dates back almost as far as the common law rule itself"); Stalcup v. Detrich, 10 P.3d 3, 8 (Kansas Ct. App. 2000) (concluding that metal building bolted to farm land was not a fixture because "the building does not appear to be particularly adapted to the use of the farm on which it sits" finding that the type of building was "not particular to the real estate upon which [it sat]").

The DirecTV decision also illustrates the error in the County's reliance on Crown Paper Co. v. City of Berlin. Opening Brief at 37. The County asserts that Crown Paper demonstrates

that the "adaptability prong of the fixture test in Zangerle set forth in the Kaheawa opinion should have analyzed 'the adaptation of the [wind turbine generators] to the use or purpose of that part of the realty with which [they are] connected[.]'" Id. (emphasis and alterations in original). However, as the court in DirecTV stated, the "intimately intertwined" standard is "distinct from" the Zangerle fixture analysis and applies only in "rare circumstances." DirecTV, 164 A.3d at 376-77.[14] Thus, Crown Paper does not refute or replace the Zangerle fixture analysis, see, e.g., id. at 377-78 (applying Zangerle fixture test to determine that antennas were not "fixtures" and thus not "real property"), as the County suggests.

The County also cites to other cases, arguing that "other jurisdictions have recognized that the assessable utility of any improvement, structure, fixture, chattel, or personal property on land is a function of its promoting the use to which the land has been put . . . ." Opening Brief at 36. Setting aside the fact that a number of these cases do not even support the County's argument, see, e.g., Matter of Consolidated Edison Co., 365 N.Y.S.2d 377 (conclusion based on statutory language that explicitly included in its definition of "real property" power generating apparatus, machinery and equipment used in connection with generation and distribution of power); King Ridge, Inc., 340 A.2d at 110 (relying on rare exception to traditional fixture analysis), the County offers no explanation as to why these cases are more consistent with Hawai'i law than Zangerle.

The County's repeated complaints about the ICA's adoption of the Zangerle fixture test do not change the fact that Zangerle remains good law and is consistent with Hawai'i authority

---

[14] "[F]or factory machinery to satisfy this standard, 'the trial court must determine that some characteristic of the underlying realty makes a special or other use of the factory machinery useful, and that the special or other use of the factory machinery renders the underlying realty useful.'" DirecTV, 164 A.3d at 376 (emphasis in original) (citation omitted). For example, in King Ridge, Inc. v. Town of Sutton, 340 A.2d 106 (N.H. 1975), the court determined that ski lifts installed at a ski area were taxable as realty because the exclusive use of the lifts was "intimately intertwined" with the property "which [had] been specifically cleared and graded for downhill skiing." Id. at 110. In other words, because the land had been cleared and graded to be a ski resort and the land could not be used as a ski resort without a "means of conveying people to the top of the ski runs" the ski lift was "intimately intertwined" with the realty and thus considered a "fixture." Id.

on the same issue. The County has offered no explanation or legal support for its assertion that the law of other jurisdictions should be applied here.

Under the Zangerle fixture analysis, "the wind turbines are only necessary to the utility of the land or realty given the particular business that [Auwahi] is currently operating." Kaheawa, 135 Hawai'i at 211, 347 P.3d at 641. "The wind turbines are not accessory or useful to the land 'whatever business may be carried upon it[.]'" Id. (citing Zangerle, 60 N.E.2d at 177). "Thus the wind turbines are not 'fixtures' and are not 'real property.'" Id. As such, the Turbines fall outside of the County's taxing authority. See supra Section IV.A (establishing that the County only has the authority to tax "real property"). MCC § 3.48.005 purports to tax the Turbines as "real property" and is accordingly invalid. See Medeiros, 89 Hawai'i at 365, 973 P.2d at 740 (stating that if "no provision of the Hawai'i Constitution or the HRS empowers the [County] to enact and enforce the [provision], the [provision] is invalid").

4. The value the Turbines add to the Property is not at issue because MCC § 3.48.005 is ultra vires.

The County states that "Appellant's appraisal expert has concluded that the adaptation of the wind turbine generators to the parcels in question have added immense value to the leasehold and freehold interests in the realty on which both KAHEAWA's and AUWAHI's wind farms are located." Opening Brief at 45. This is not relevant to the issue before this Court—whether the MCC § 3.48.005 as amended exceeds the County's taxing authority under article VIII, section 3 of the Hawai'i Constitution. As the County conceded before the Tax Appeal Court, the question of whether the Turbines add value to the Property "is a question that we only need to reach if and when the court concludes that the county's ordinance is not ultra vires." Tr. 34:10-23 (statement of counsel for the County). Having concluded that MCC § 3.48.005 was ultra vires, the Tax Appeal Court concurred that the question of what value the Turbines add to the Property "is not reached because of the threshold question of whether the counties have the power to legislate

policy by redefining the term 'real property.'" Id. at 41:18-23.[15]

To the extent that the County argues that an item could be deemed a "fixture" solely because it adds value to the underlying land, this is inconsistent with both the common law and statutory definitions of "real property" in effect in 1978. See supra Section IV.A. The County cites absolutely no legal authority to support this proposition.

The County's "adds value" language destroys the distinction between "real property" and "personal property." As noted earlier, This consideration of whether something adds value is often stated as one part of the test for whether something qualifies as an "improvement": an "improvement" "encompasses everything that permanently enhances the value of premises for general use." Ariz. Dep't of Revenue v. Ariz. Outdoor Advertisers, Inc., 41 P.3d 631, 634 (Ariz. Ct. App. 2002) (emphasis added) (citing 41 Am. Jur. 2d Improvements § 1 (1968)); Cartwright v. Widemann, 9 Haw. 685 (1892) (holding that machines bolted in place were "chattels" because they lacked "permanency"). Thus, to qualify as an improvement, the addition or betterment must (1) enhance value and (2) do so permanently.[15]

As noted earlier, an "improvement" is a broad category of "real property" that "usually refers to buildings but may also include any permanent structure or other development of the property," such as fences, roads, ditches, and "fixtures." 41 Am. Jur. 2d Improvements § 1 (emphasis added). Thus, the term "improvement" "certainly includes fixtures, but the term also includes such things as roads or ditches that usually are not classified as fixtures." Ariz. Outdoor Advertisers, 41 P.3d at 634. In other words, the term "improvement" embraces "a broader category of things than 'fixture.'" Id.

A "fixture" is an item of personal property that is affixed to real property and has become "a permanent part of the realty to which it is affixed." Logan v. Mullis, 686 S.W.2d 605, 607 (Tex. 1985). Thus, cases involving "bringing goods onto real property and affixing them . . . are

---

[15] The County erroneously asserts that this statement by the Tax Appeal Court demonstrates that "the court expressly took no exception to Appellant's appraisal expert R.J. Kirchner's conclusions on this issue." Opening Brief at 44. The court did not even consider the opinion of the County's expert because the issue of value was not reached. See Tr. 41:18-23.

suited to an analysis employing fixtures jurisprudence . . . .” Arizona Outdoor Advertisers, 41 P.3d at 634. That jurisprudence addresses whether a chattel is sufficiently “permanent” to qualify as a fixture and thus an improvement and real property. See Logan, 686 S.W.2d at 607. It looks to whether the chattel can be removed without substantial damage to the land, whether the chattel is necessary to the utility of the land, and whether there was an intention to make the article a permanent accession. See e.g., Kaheawa, 135 Hawai‘i at 210, 347 P.3d at 640. “The third criterion dealing with intention is preeminent, whereas the first and second criteria constitute evidence of intention.” Logan, 686 S.W.2d at 607.

The reason that the County’s “adds value” clause obliterates the distinction between “real property” and “personal property” is that it disregards the permanence requirement. As explained above, to qualify as an improvement, the addition or betterment must (1) add value and (2) do so permanently. Under the County’s definition, any piece of machinery or equipment that is bolted in place could be taxable “real property” so long as it adds value to the land for any period of time, even if it could be removed without substantial damage to the land and even if is not necessary to the utility of the land. With the “adds value” clause, the County is including “personal property” in the definition of “real property.”

Indeed, the County’s “adds value” clause cannot be reconciled with this Court’s decision in Cartwright, which held that machines bolted in place were not “fixtures” but were instead “chattels” or personal property, because they could be removed without injury to the surface to which they were attached. 9 Haw. at 689. Looking to common law principles, the court further reasoned that the machines’ “permanency [were] contingent upon the varying conditions of the business” and that they were not “indispensable to the enjoyment of the freehold.” Id. at 690 (emphasis added). By contrast, the County’s new ordinance disregards this requirement of permanence in determining when machinery is transformed from a chattel into real property.[16]

[16] The County’s “adds value” definition is also inconsistent with the Hawai‘i Supreme Court’s decision in Adams v. Kauwa, 6 Haw. 280, 281 (1881), where the court held that a house was not a fixture because it “rest[ed] on the stones, which rest on the earth,” and as such the house “was personal property when put there, and continued as such ever afterward . . . .” Id. at 281.

In contrast to the County's language, the definition of "real property"—found in the statute preceding the constitutional transfer of authority, in the County ordinance following the transfer, and in the common law—meaningfully distinguishes between real and personal property. This definition appropriately informs the meaning of "real property" in Section 3. Notably, this definition of "real property" goes hand in hand with the State's definition of "tangible personal property," which, as discussed below, defines machinery as personal property unless it is a "component[] of a building" or some "other inherently permanent structure." HAR § 18-235-110.7-04(b)(2) (emphasis added). Accordingly, for machinery or equipment to be transformed from "personal property" to "real property," machinery or equipment must (1) be necessary to the utility of the land, buildings, structures, fences, and improvements or (2) not be removable without substantial damage to the land, buildings, structures, fences, and improvements.

C. The County's Argument Regarding the Removability of the Turbines Is Without Merit and Has Been Waived.

1. The County waived the argument by failing to raise the alleged error before the Tax Appeal Court and in its Points of Error on appeal.

In a last ditch attempt to get around the ICA's decision in Kaheawa, the County raises a new argument disputing the removability of the Turbines. Opening Brief at 38-44. The County, however, waived this issue by failing to raise it before the Tax Appeal Court. See Ass'n of Apt. Owners of Wailea Elua v. Wailea Resort, 100 Hawai'i 97, 107, 58 P.3d 608, 618 (2002) ("Legal issues not raised in the trial court are ordinarily deemed waived on appeal.").

In its Motion for Summary Judgment, Auwahi sought an order determining, among other things:

- A. That MCC § 3.48.005 (2013) is invalid and unconstitutional insofar as it classifies the Turbines as "real property," [and]

- B. That the 2015 assessment is invalid and unconstitutional insofar as it classifies the Turbines as "real property."

818 ROA Vol. I at 51. To meet its burden, Auwahi offered the declaration of James R. Asay, Director - Corporate Tax of Sempra Energy, a parent company of Auwahi, to establish that "the Turbines [could] be unbolted and removed without harm to either the equipment or the land." Id. at 69, 73-76. Having met its burden of producing support for its claim that the Turbines were not "real property," the burden then shifted to the County "to respond to the motion for summary judgment and demonstrate specific facts, as opposed to general allegations, that present a genuine issue worthy of trial." Jou v. Dai-Tokyo Royal State Ins. Co., 116 Hawai'i 159, 164, 172 P.3d 471, 476 (2007) (block formatting and citation omitted).

In opposition to Auwahi's motion, the County argued that "Article VIII, Section 3 of the Hawai'i Constitution Transferred to the counties broad powers of property taxation," 818 ROA Vol. II at 18-19, "neither Article VIII, Section 3 or Hawai'i Revised Statutes § 246-1 limit the definition of real property," id. at 19-20 and, "neither this honorable court or the Intermediate Court of Appeals ruled wind turbines are de jure personal property," id. at 20. The County, however, offered no evidence or argument to refute Auwahi's claim that the Turbines could be removed without harming the equipment or the land. See generally id. at 6-373. Therefore, summary judgment in favor of Auwahi was appropriately granted. See Joy A. McElroy, M.D., Inc. v. Maryl Group, Inc., 107 Hawai'i 423, 438, 114 P.3d 929, 944 (Ct. App. 2005) (holding that since plaintiffs failed to address breach of duty argument in their opposition to the defendant's motion for summary judgment, the defendant should have been granted summary judgment as to that issue). The County cannot now raise the issue for the first time on appeal, see Ass'n of Apt. Owners of Wailea Elua, 100 Hawai'i at 107, 58 P.3d at 618.

The County also cannot introduce new evidence on appeal. The County asks the Court to "take judicial notice" of three journal articles discussing wind farms in Hawai'i. Opening Brief at

43. Setting aside the fact that these articles are inadmissible hearsay[17] and not an appropriate subject for judicial notice,[18] the articles were not presented as part of the County's opposition to Auwahi's summary judgment motion. Under the applicable standard of review, each motion for summary judgment is reviewed based on the record presented to the court on the particular motion. Koga Eng'g & Const., Inc. v. State, 122 Hawai'i 60, 80 222 P.3d 979, 999 (2010). Plus, there is no basis to reconsider summary judgment in light of new arguments or evidence that could and should have been presented in earlier proceedings. See, e.g., Kamaka v. Goodsill Anderson Quinn & Stifel, 117 Hawai'i 92, 104, 176 P.3d 91, 103 (2008).

In addition to failing to raise the argument below, the County failed to identify this issue in its Statement of Points of Error on appeal. See Opening Brief at 18-19. For this additional reason, the County has waived this argument. See Haw. R. App. P. 28(b)(4) ("Points not presented in accordance with this section will be disregarded[.]"); Hogg v. Murakami, 125 Hawai'i 381 n.2, 262 P.3d 670 n.2 (Ct. App. 2011) ("The Owners appear to introduce various additional arguments that were not identified in their points of error. These arguments are deemed waived.").

---

[17] See, e.g., Porter v. Shinseki, 650 F. Supp. 2d 565, 567 (E.D. La. 2009) ("Newspaper articles, however, are not proper summary judgment evidence to prove the truth of the facts that they report because they are inadmissible hearsay."); AFMS LLC v. United Parcel Serv. Co., 105 F. Supp. 3d 1061, 1070 (C.D. Cal. 2015) ("It is axiomatic to state that newspaper articles are by their very nature hearsay evidence and are thus inadmissible if offered to prove the truth of the matter asserted.").

[18] Rule 201(b) of the Hawai'i Rules of Evidence limits judicially noticeable facts to those "not subject to reasonable dispute in that [they are] either (1) generally known within the territorial jurisdiction of the trial court, or (2) capable of accurate and ready determination by resort to sources whose accuracy cannot reasonably be questioned." The statements in the journal arguments proffered by the County cannot meet either standard.

2. Even if the argument was not waived, the County's reliance on New Jersey case law is meritless.

Even if the County had not twice waived its argument regarding the removability of the Turbines, the case law the County relies upon is inapposite to the issue here because it is based on statutory language unique to New Jersey.

The traditional common law test for determining whether an item of personal property has become a "fixture" requires three elements: (1) the actual or constructive annexation of the article to the realty, (2) the adaptation of the article to the use or purpose of that part of the realty with which it is connected, and (3) the intention of the party making the annexation to make the article a permanent accession to the freehold.

Kaheawa, 135 Hawai'i at 210, 347 P.3d at 640 (emphasis added) (block formatting and emphasis omitted) (quoting 35 A Am.Jur.2d Fixtures § 4). The third prong of this test is determined by considering "the nature of the article affixed, the relation and situation of the party making the annexation, the structure and mode of annexation, and the purpose or use for which the annexation has been made." Perez Bar & Grill v. Schneider, 2012 WL 6105324, at *6 (Ohio Ct. App. Dec. 10, 2012) (cited favorably by Kaheawa, 135 Hawai'i at 210, 347 P.3d at 640); see also Union Elevator & Warehouse Co. v. State ex rel. Dept. of Transp., 183 P.3d 1097, 1102 (Wash. Ct. App. 2008) ("Factors pertinent to intent include 'the nature of the article affixed, the relation and situation to the freehold of the annexor, the manner of annexation, and the purpose for which annexation is made."); Wy. State Farm Loan Bd. v. Farm Credit Sys. Capital Corp., 759 P.2d 1230, 1234-35 (Wy. 1988) ("Circumstances bearing on a determination of objective intent include the nature of the article affixed, the purpose it serves on the land and the annexor's relationship to the article and to the land."); Wayne Cnty. v. William G. Britton & Virginia M. Britton Trust, 563 N.W.3d 674, 680 (Mich. 1997) ("Intent may be inferred from the nature of the article affixed, the purpose for which it was affixed, and the manner of annexation."). In other words, this is a fact intensive inquiry specific to each case. See, e.g., JJID, Inc. v. Delaware River Indus. Park, LLC, C.A. No. 03L-06-087-PLA, 2007 WL 2193735, at *3 (Del. Super. Ct. Jul. 30,

2007) (stating that "[w]hether a chattel has become a fixture to real estate is a factual question" and rejecting on summary judgment "testimony based on [the witness's] general knowledge, and not on the facts involved with the installation and removal of the water jet system in this case").

New Jersey, however, moved away from the common law fixture test which was "intended by the party making the annexation to be a permanent accession to the freehold," and instead adopted a statute defining "real property" as, among other things, "personal property affixed to the real property or an appurtenance thereto unless: . . . the personal property so affixed is not ordinarily intended to be affixed permanently to real property." See NYT Cable TV, 9 N.J. Tax at 367. In other words, under New Jersey law, the inquiry was not specific to the subject property, but rather a more abstract inquiry as to whether items of that type were "ordinarily intended to be affixed permanently to real property." Thus, an item could be removed without causing material injury to itself or the realty and yet be deemed "real property" because articles of that nature are of the type "ordinarily intended to be affixed permanently to real property." See, e.g., Chevron U.S.A., Inc., 9 N.J. Tax at 244 ("In sum, even though Chevron's refinery could be removed without material injury to itself or the real property, this court finds that the machinery, equipment and process units implicated in Chevron's refinery are ordinarily intended to be affixed permanently to real property pursuant to c. 117.").

The County's reliance on New York case law is similarly misplaced. Those cases rely on statutory language that explicitly includes in its definition of "real property" power generating apparatus, machinery and equipment used in connection with generation and distribution of power. See, e.g., Matter of Consolidated Edison Co. of N.Y., 80 Misc.2d at 1079. This is a departure from common law principles and specific to the State of New York. See id. (noting that "it is and always has been the policy of this State and the intention of the Legislature that power-generating apparatus and machinery and equipment, whether movable or permanently affixed to realty, used in connection with the generation and distribution of power and an integral component part of a unified system – are taxable as real property per se under subdivision 12 of section 102 of the Real Property Tax Law because they generate and distribute power" and thus

"historic tests and common-law rules defining fixtures simply are not determinative of what is properly taxable as real property in this area").

The County provides no argument or legal authority to support its reliance on New Jersey and New York cases that are based on statutory language unique to those states and depart from well-established common law fixture principles. Accordingly, even if the County had not twice waived its argument regarding the removability of the Turbines, its argument is without merit.[19]

D. Concluding that the Turbines are Personal Property, and Not Real Property, Promotes Uniformity and Consistency in the Tax Laws.

The foregoing conclusion that the Turbines are not "real property" is reinforced by the determinations made by the state and federal taxing authorities. The United States Internal Revenue Service has accepted the classification of wind turbines as tangible personal property for purposes of energy credits and depreciation methods. See 26 U.S.C. §§ 48(a)(3) (energy credit), 168(e)(3)(B)(iv) (depreciation) (Internal Revenue Code); IRS Private Letter Ruling 9007042, 1990 WL 698490 (1990) ("The [wind turbine] generators are 'tangible personal property' . . . .").

Likewise, the State of Hawai'i Department of Taxation has classified the turbines as "tangible personal property" and accordingly approved capital good excise tax credits under HRS § 235-110.7(e) with respect to its turbines. Kaheawa, Kaheawa, 135 Hawai'i at 205, 347 P.3d at 635. According to the State: "[A]ll property in the nature of machinery (other than structural components of a building or other inherently permanent structure) shall be considered

---

[19] On the issue of removability, the lease between Auwahi and the lessor provides that Auwahi may remove the Turbines at any time and that, upon termination of the lease, Auwahi must remove the Turbines from the premises. 818 ROA Vol. I at 75; Ex. 3 (lease) at 8, 28; see also Glenville Cablesystems Corp. v. State Tax Comm'n., 531 N.Y.S.2d 137, 139 (Sup. Ct. App. Div. 1988) (finding that a cable television system was taxable as personal property because it was not intended to be permanently affixed to real property, given that, inter alia, its distribution system was attached to utility poles pursuant to franchise agreements and the distribution system was required to be removed at the end of the agreements). Accordingly, the Turbines were not intended to be permanent by "express declaration" of the parties to the lease. See Zangerle v. Std. Oil Co., 60 N.E.2d 52, 57 (Ohio 1945).

tangible personal property even though located outside a building. For example, a gasoline pump, hydraulic car lift, or automatic vending machine, although annexed to the ground, shall be considered tangible personal property." Hawai'i Administrative Rules § 18-235-110.7-04(b)(2).

Similar to "production machinery" and "hydraulic car lift[s]," the Turbines, "although [bolted] to the ground, [should] be considered tangible personal property." See id. The Turbines are not "inherently permanent structures." See id. Consistent with the views of the state and federal taxing authorities, the Turbines remain "personal property" and have not been converted to "real property." Determining that the Turbines are personal property, and not real property, for taxation purposes is not only correct, but also serves to promote uniformity and consistency in the tax laws. Cf. Bashinsky v. Sparks, 146 So. 2d 303, 306 (Ala. 1962) ("Uniformity between state tax laws and federal tax laws is most desirable.").

VI. CONCLUSION

The Turbines are personal property, not real property, for purposes of Section 3. What that means is that the authority to tax them does not belong to the County, but rather to the State. As such, the County's ordinance and assessment taxing the Turbines were properly held invalid. See Medeiros, 89 Hawai'i 361, 370, 973 P.2d 736, 745 (1999) ("Because the state has not empowered the city to impose such a tax, the ordinance was invalid."). For all the foregoing reasons, the Tax Appeal Court's order and judgment should be affirmed.

DATED: Honolulu, Hawai'i, July 11, 2018.

CADES SCHUTTE LLP

/s/ Christopher T. Goodin
Christopher T. Goodin

VITO GALATI
CHRISTOPHER T. GOODIN
Attorneys for Appellee/Taxpayer-Appellant
AUWAHI WIND ENERGY LLC